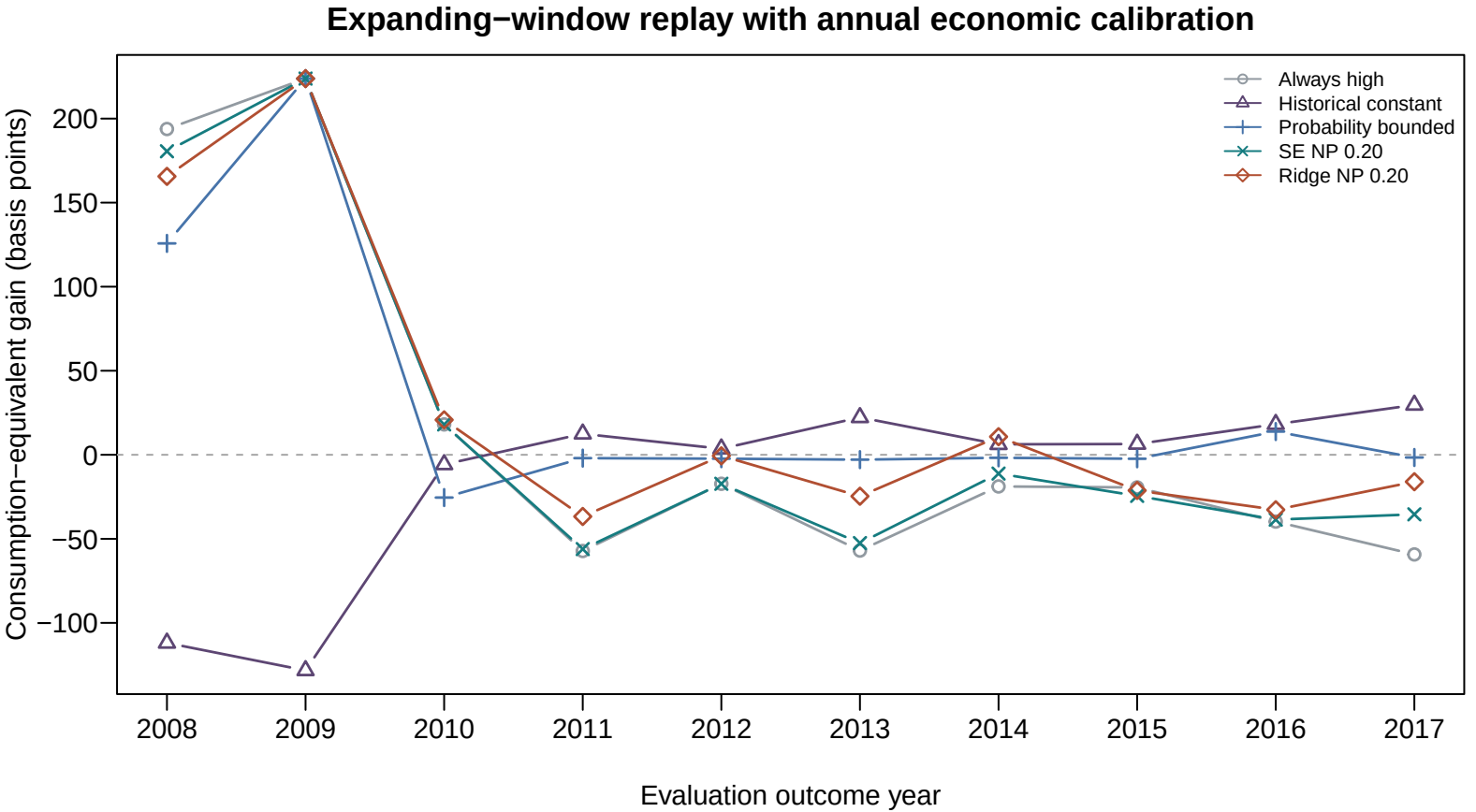
Expanding−window replay with annual economic calibration
Always high
Historical constant
Probability bounded
SE NP 0.20
Ridge NP 0.20
Consumption−equivalent gain (basis points)
200
150
100
50
0
−50
−100
2008
2009
2010
2011
2012
2013
2014
2015
2016
2017
Evaluation outcome year